

EXAMPLE

Let us say we have a goal that is to be met in 6 years. We need Rs. 4 lac for the same. We have decided to invest 70% in equity and 30% in debt.

For equity, we will be investing 67% in large-cap funds and 33% in mid-cap funds. Large-cap has a 7-year category average of 14% and mid-cap has an average of 17% p.a. For the debt, 50% will go in corporate bonds and the rest 50% will go in liquid funds. Corporate bonds give a return of 9% and liquid funds return 7%. To find the expected rate of return we will calculate a weighted average of returns. There are 3 steps for this. First, calculate the expected return of only equity. Second, calculate the expected rate of only debt. Lastly, use these two to calculate the overall expected rate of return.

